

Gigabyte Technology (2376 TT)

 Target price: **TWD490.00** (from TWD422.00)

 Share price (17 Aug): **TWD358.00** | Up/downside: **+36.9%**

5 4 3 2 1

 **Buy**
(unchanged)

2Q26 results: beat on solid operating leverage

- Key beneficiary to ride on rising AI demand from neocloud
- Strong execution on opex control due to leverage on rising AI sales
- Reaffirming our Buy (1) rating; raising 12M TP to TWD490

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What's new: We provide our view after 2Q26 results (published 14 August)

What's the impact: Business outlook. We believe Gigabyte will ride on consistently solid AI server demand from neocloud, as key vendors have been repeatedly raising their power budget/capex. This tallies with our view that neocloud and enterprise will gradually become key buyers of Nvidia AI servers from the Vera Rubin generation in 2027. Nebius raised its power contract target (by end-2026) from 4GW to 5GW and its management believes its longer-term target will be >5GW by 2030 (vs. its current usage of c.1GW). Meanwhile, Coreweave raised its 2026 capex guidance to USD35-39bn (from USD31-35bn) with an order backlog of USD104bn (vs. USD2.6bn revenue in 2Q26). We believe that neocloud will become a key computing source for sovereign, enterprise and other corporate customers that cannot maintain and design the hardware themselves. As such, the TAM for server brands like Dell, Gigabyte, Lenovo and Asustek is likely to rise. We raise our revenue assumptions for Gigabyte's AI server to TWD411 in 2026E and TWD565bn in 2027E (from TWD351bn/TWD448bn previously and vs. TWD180bn in 2025). We expect the rising revenue contribution from AI servers to be margin-dilutive and therefore margins to decrease gradually. We project the gross margin to reach 8.9/8.4% in 2027/28E vs. 12% in 1Q26 (due to a gain from inventory re-evaluation).

2Q26 results beat on sales and FX gain. Gigabyte's 2Q26 earnings came in at TWD6.6bn (EPS: TWD9.9), which was 42% and 19% higher than our and consensus estimates, respectively. 2Q26 sales came in at TWD144.2bn (up 37% QoQ and 41% YoY), 16% higher than our estimate on better-than-expected enterprise AI server demand. However, the gross margin decreased 2.4pp QoQ to 9.6%, 0.6pp lower than consensus, mainly due to a higher-than-expected contribution from AI server revenue. The operating margin also dropped, by 1.5pp QoQ to 5.6%, but this was partially offset by the elevated operating leverage on its expanded top line. Net profit was boosted by a higher-than-expected FX gain of TWD885m.

What we recommend: We cut our 2027-28E earnings by 2-3% to reflect the 2Q26 results and higher AI server contribution as well as the new GDR plan that will dilute EPS by c.7%. We reaffirm our Buy (1) rating and raise our 12M TP to TWD490 (from TWD422), based on an unchanged PER of 15x (lower end of its past-1-year trading range of 12-25x) applied to our 1-year forward diluted EPS. Key downside risk: earnings impact from Nvidia's business model change.

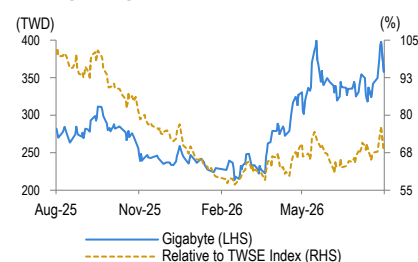
How we differ: Our 2026-28E EPS are 13-22% higher than consensus likely on our higher revenue and profitability assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	14.0	20.4	32.3
Net profit change	24.6	18.6	19.7
Core EPS (FD) change	2.3	(2.7)	(1.8)

Source: Daiwa forecasts

Share price performance



12-month range	214.00-399.00
Market cap (USDbn)	7.94
3m avg daily turnover (USDm)	123.71
Shares outstanding (m)	710
Major shareholder	Ming Wei Global Co., Ltd. (6.7%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	570,560	734,748	921,616
Operating profit (m)	33,705	39,100	47,348
Net profit (m)	24,779	27,425	31,926
Core EPS (fully-diluted)	30.348	33.589	39.102
EPS change (%)	79.7	10.7	16.4
Daiwa vs Cons. EPS (%)	14.8	13.1	21.9
PER (x)	11.8	10.7	9.2
Dividend yield (%)	3.9	8.4	4.7
DPS	14.0	30.0	17.0
PBR (x)	2.9	2.7	2.2
EV/EBITDA (x)	6.7	6.2	5.3
ROE (%)	33.7	30.1	30.7

Source: FactSet, Daiwa forecasts

Gigabyte: revenue and earnings forecasts vs. Bloomberg consensus

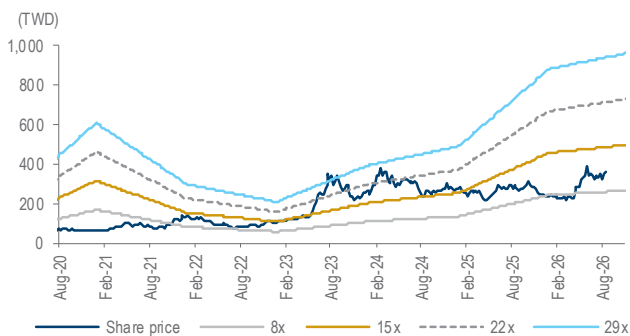
(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	500,518	570,560	530,725	610,263	734,748	660,232	696,574	921,616	757,021
Diff (%)		14.0%	7.5%		20.4%	11.3%		32.3%	21.7%
Gross Margin (%)	10.1%	10.0%	10.2%	9.4%	8.9%	9.6%	9.1%	8.4%	9.1%
Operating profit	27,137	33,705	29,256	31,191	39,100	33,975	35,690	47,348	36,844
Op Margin (%)	5.4%	5.9%	5.5%	5.1%	5.3%	5.1%	5.1%	5.1%	4.9%
Net profit	19,878	24,779	21,580	23,122	27,425	24,246	26,673	31,926	26,187
EPS (diluted)	29.67	30.35	26.43	34.52	33.59	29.69	39.82	39.10	32.07
Diff (%)		2.3%	14.8%		-2.7%	13.1%		-1.8%	21.9%

Source: Bloomberg, Daiwa forecasts

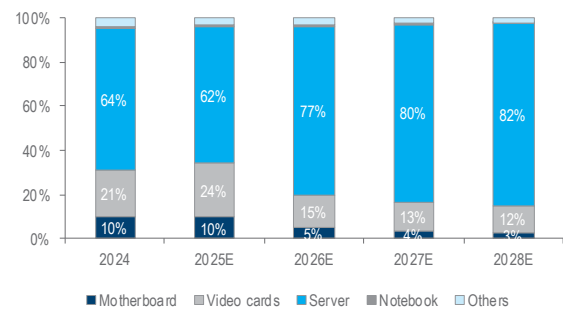
Gigabyte: quarterly and annual P&L

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	105,057	144,214	158,788	162,500	174,600	172,173	193,189	194,785	336,937	570,560	734,748	921,616
COGS	(92,443)	(130,341)	(143,612)	(147,297)	(158,597)	(156,766)	(175,914)	(177,769)	(301,752)	(513,692)	(669,046)	(844,601)
Gross profit	12,615	13,873	15,176	15,203	16,003	15,407	17,276	17,016	35,185	56,867	65,702	77,016
Operating expenses	(5,201)	(5,753)	(6,034)	(6,175)	(6,286)	(6,543)	(6,762)	(7,012)	(18,413)	(23,163)	(26,602)	(29,668)
Operating profit	7,414	8,120	9,143	9,028	9,717	8,865	10,514	10,004	16,772	33,705	39,100	47,348
Non-operating profit	(359)	1,330	104	97	102	111	103	103	208	1,172	420	420
Pre-tax profit	7,055	9,451	9,246	9,126	9,819	8,976	10,617	10,107	16,980	34,877	39,519	47,767
Income taxes	(1,410)	(1,986)	(1,942)	(1,916)	(2,062)	(1,885)	(2,230)	(2,122)	(4,790)	(10,098)	(12,095)	(15,841)
Net profit	5,268	6,606	6,514	6,390	6,863	6,196	7,386	6,979	12,190	24,779	27,425	31,926
EPS (reported)	7.86	9.86	9.18	9.00	9.67	8.73	10.41	9.83	18.20	34.90	38.63	44.97
Core EPS (diluted)	7.30	8.51	7.98	7.83	8.41	7.59	9.05	8.55	16.88	30.35	33.59	39.10
Operating ratios												
Gross margin	12.0%	9.6%	9.6%	9.4%	9.2%	8.9%	8.9%	8.7%	10.4%	10.0%	8.9%	8.4%
Operating margin	7.1%	5.6%	5.8%	5.6%	5.6%	5.1%	5.4%	5.1%	5.0%	5.9%	5.3%	5.1%
Pre-tax margin	6.7%	6.6%	5.8%	5.6%	5.6%	5.2%	5.5%	5.2%	5.0%	6.1%	5.4%	5.2%
Net margin	5.0%	4.6%	4.1%	3.9%	3.9%	3.6%	3.8%	3.6%	3.6%	4.3%	3.7%	3.5%
YoY (%)												
Net revenue	60%	41%	100%	82%	66%	19%	22%	20%	27%	69%	29%	25%
Gross profit	49%	44%	93%	65%	27%	11%	14%	12%	25%	62%	16%	17%
Operating profit	75%	53%	166%	137%	31%	9%	15%	11%	31%	101%	16%	21%
Pre-tax profit	58%	115%	128%	125%	39%	-5%	15%	11%	25%	105%	13%	21%
Net profit	69%	117%	113%	115%	30%	-6%	13%	9%	25%	103%	11%	16%
QoQ (%)												
Net revenue	18%	37%	10%	2%	7%	-1%	12%	1%				
Gross profit	37%	10%	9%	0%	5%	-4%	12%	-2%				
Operating profit	95%	10%	13%	-1%	8%	-9%	19%	-5%				
Pre-tax profit	74%	34%	-2%	-1%	8%	-9%	18%	-5%				
Net profit	77%	25%	-1%	-2%	7%	-10%	19%	-6%				

Source: Company, Daiwa forecasts

Gigabyte: 1-year forward PER bands


Source: Company, TEJ, Daiwa forecasts

Gigabyte: revenue mix by product (yearly)


Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
MB shipment (k)	11,975.0	9,990.0	10,279.2	9,705.8	11,428.1	8,879.6	8,960.2	9,340.0
VGA shipment (k)	4,435.0	3,810.0	3,533.1	4,199.1	5,153.5	4,765.7	5,171.7	5,901.3
Total server Shipment (k)	102.0	99.2	89.8	123.9	131.2	138.3	130.7	129.1

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
MB quarterly sales (LHS)	33,689	23,199	27,611	26,575	32,965	27,470	27,886	29,059
VGA quarterly sales (LHS)	49,947	46,733	47,952	56,455	82,071	85,817	96,152	110,815
Other Revenue	38,269	37,331	61,210	182,118	221,900	457,273	610,710	781,743
Total Revenue	121,905	107,264	136,773	265,149	336,937	570,560	734,748	921,616
Other income	0	0	0	0	0	0	0	0
COGS	(92,315)	(90,648)	(120,198)	(237,056)	(301,752)	(513,692)	(669,046)	(844,601)
SG&A	(11,012)	(8,545)	(8,933)	(11,188)	(14,106)	(17,823)	(19,622)	(21,129)
Other op.expenses	(4,091)	(2,226)	(2,747)	(4,128)	(4,307)	(5,340)	(6,980)	(8,539)
Operating profit	14,487	5,845	4,895	12,777	16,772	33,705	39,100	47,348
Net-interest inc./(exp.)	69	115	338	127	(87)	(394)	(381)	(381)
Assoc/forex/extraord./others	1,558	2,486	871	694	295	1,566	801	801
Pre-tax profit	16,113	8,446	6,105	13,598	16,980	34,877	39,519	47,767
Tax	(2,778)	(1,911)	(1,324)	(2,843)	(3,695)	(7,254)	(8,299)	(10,031)
Min. int./pref. div./others	3	4	(38)	(967)	(1,095)	(2,844)	(3,795)	(5,810)
Net profit (reported)	13,338	6,539	4,743	9,789	12,190	24,779	27,425	31,926
Net profit (adjusted)	13,338	6,539	4,743	9,789	12,190	24,779	27,425	31,926
EPS (reported)(TWD)	20.982	10.286	7.461	14.612	18.197	34.905	38.633	44.974
EPS (adjusted)(TWD)	20.982	10.286	7.461	14.612	18.197	34.905	38.633	44.974
EPS (adjusted fully-diluted)(TWD)	20.982	10.286	7.180	13.557	16.885	30.348	33.589	39.102
DPS (TWD)	5.000	11.987	6.200	6.826	10.649	14.000	30.000	17.000
EBIT	14,487	5,845	4,895	12,777	16,772	33,705	39,100	47,348
EBITDA	15,167	6,578	5,684	13,579	17,674	34,720	40,284	48,749

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	16,113	8,446	6,105	13,598	16,980	34,877	39,519	47,767
Depreciation and amortisation	680	733	789	802	901	1,015	1,184	1,402
Tax paid	(2,778)	(1,911)	(1,324)	(2,843)	(3,695)	(7,254)	(8,299)	(10,031)
Change in working capital	(7,422)	(606)	(3,149)	(29,714)	(10,131)	(11,410)	(22,980)	(26,095)
Other operational CF items	1,762	(847)	(157)	1,975	1,034	0	(0)	0
Cash flow from operations	8,355	5,815	2,265	(16,182)	5,089	17,228	9,425	13,042
Capex	(587)	(1,122)	(417)	(1,964)	(1,161)	(2,111)	(2,719)	(3,410)
Net (acquisitions)/disposals	(437)	495	(18)	(861)	267	0	0	0
Other investing CF items	(180)	(288)	(240)	(251)	(426)	0	0	0
Cash flow from investing	(1,204)	(915)	(675)	(3,077)	(1,321)	(2,111)	(2,719)	(3,410)
Change in debt	(303)	(200)	9,291	11,739	22,321	0	0	0
Net share issues/(repurchases)	0	0	0	9,820	0	14,000	0	0
Dividends paid	(3,178)	(7,620)	(3,941)	(4,339)	(7,134)	(9,938)	(21,297)	(12,068)
Other financing CF items	(213)	44	106	(29)	(126)	0	0	0
Cash flow from financing	(3,695)	(7,776)	5,456	17,190	15,061	4,062	(21,297)	(12,068)
Forex effect/others	(93)	213	(145)	401	3	0	0	0
Change in cash	3,364	(2,663)	6,901	(1,667)	18,832	19,179	(14,591)	(2,436)
Free cash flow	7,768	4,693	1,848	(18,146)	3,928	15,117	6,706	9,632

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	21,536	17,435	24,371	23,561	42,417	61,595	47,005	44,569
Inventory	26,590	21,777	29,664	43,810	62,185	112,590	146,640	185,118
Accounts receivable	11,023	14,365	16,759	30,343	36,548	54,711	70,455	88,374
Other current assets	1,150	1,225	2,280	2,772	3,113	3,113	3,113	3,113
Total current assets	60,298	54,803	73,075	100,486	144,263	232,010	267,213	321,174
Fixed assets	4,207	4,947	4,820	6,427	6,953	8,049	9,583	11,591
Goodwill & intangibles	29	129	170	194	254	254	254	254
Other non-current assets	4,644	3,693	4,085	4,181	4,656	4,656	4,656	4,656
Total assets	69,178	63,572	82,150	111,287	156,126	244,968	281,706	337,675
Short-term debt	0	0	0	2,000	24,446	24,446	24,446	24,446
Accounts payable	15,910	13,996	20,711	17,791	31,507	88,665	115,479	145,780
Other current liabilities	14,840	12,970	13,888	17,259	28,531	28,531	28,531	28,531
Total current liabilities	30,750	26,967	34,599	37,050	84,484	141,642	168,456	198,758
Long-term debt	200	0	8,920	18,403	9,492	9,492	9,492	9,492
Other non-current liabilities	726	660	697	753	951	951	951	951
Total liabilities	31,675	27,627	44,216	56,206	94,926	152,085	178,899	209,200
Share capital	6,357	6,357	6,357	6,699	6,699	7,099	7,099	7,099
Reserves/R.E./others	31,131	29,577	31,116	46,984	52,401	80,841	86,970	106,828
Shareholders' equity	37,488	35,933	37,473	53,683	59,100	87,940	94,068	113,927
Minority interests	15	11	461	1,397	2,099	4,943	8,738	14,548
Total equity & liabilities	69,178	63,572	82,150	111,287	156,126	244,968	281,706	337,675
EV	232,820	236,716	239,151	252,380	247,760	231,426	249,812	258,057
Net debt/(cash)	(21,336)	(17,435)	(15,451)	(3,158)	(8,479)	(27,658)	(13,067)	(10,631)
BVPS (TWD)	58.972	56.527	58.948	80.137	88.224	123.879	132.511	160.485

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	44.1	(12.0)	27.5	93.9	27.1	69.3	28.8	25.4
EBITDA (YoY)	208.4	(56.6)	(13.6)	138.9	30.2	96.4	16.0	21.0
Operating profit (YoY)	243.5	(59.7)	(16.3)	161.0	31.3	101.0	16.0	21.1
Net profit (YoY)	204.9	(51.0)	(27.5)	106.4	24.5	103.3	10.7	16.4
Core EPS (fully-diluted) (YoY)	204.9	(51.0)	(30.2)	88.8	24.5	79.7	10.7	16.4
Gross-profit margin	24.3	15.5	12.1	10.6	10.4	10.0	8.9	8.4
EBITDA margin	12.4	6.1	4.2	5.1	5.2	6.1	5.5	5.3
Operating-profit margin	11.9	5.4	3.6	4.8	5.0	5.9	5.3	5.1
Net profit margin	10.9	6.1	3.5	3.7	3.6	4.3	3.7	3.5
ROAE	41.1	17.8	12.9	21.5	21.6	33.7	30.1	30.7
ROAA	22.5	9.9	6.5	10.1	9.1	12.4	10.4	10.3
ROCE	44.1	15.9	11.8	20.9	19.7	30.4	29.7	31.7
ROIC	89.8	26.1	18.7	27.2	25.1	45.3	39.9	36.0
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	17.2	22.6	21.7	20.9	21.8	20.8	21.0	21.0
Accounts receivable (days)	28.4	43.2	41.5	32.4	36.2	29.2	31.1	31.5
Current ratio (x)	2.0	2.0	2.1	2.7	1.7	1.6	1.6	1.6
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	193.1	85.5	102.5	124.2
Net dividend payout	72.7	57.1	60.3	91.5	72.9	76.9	85.9	44.0
Free cash flow yield	3.1	1.8	0.7	n.a.	1.5	5.9	2.6	3.8

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1986 and listed on the Taiwan stock exchange in 1998, Gigabyte started as a motherboard supplier with its own brand "Gigabyte" and has now become the world's second-largest brand in the motherboard business and fourth-largest vendor in the global VGA industry. Its other products include graphics cards and servers. The company has also established an e-sports brand called "AORUS" in order to enter the gaming market with various products including motherboards, VGA, notebooks, desktops, monitors and other PC peripherals. After 20 years of development in the server industry, the business finally bore fruit in 2021. As such, Gigabyte spun off its networking business to a 100% owned subsidiary "Giga Computing" in Jan. 2023, which enabled Gigabyte to expand the server business in a more flexible and efficient way. Gigabyte is currently headquartered in New Taipei City and owns production sites in Taoyuan (NB and server), Dongguan (motherboard and VGA), and Ningbo (motherboard, VGA and server). The company also owns service centres across all 5 continents.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	2 Gigabyte's board consists of 11 directors, including 5 independent directors. The total number of directors is slightly lower than that of other listed companies in our coverage. Gigabyte held 10 board meetings in 2024 and the actual attendee rate was 97%. Most of the board members are co-founders of Gigabyte, which is likely a positive for the company. In addition, the independent directors have diversified backgrounds with expertise in accounting and management. We see it as a positive for the board's quality.
	Capital management	2 Gigabyte declared a DPS of TWD10.0 in 2025, representing a payout ratio of 68.4%. The payout ratio was near the level of 70-75% during 2010-2021. As a leading motherboard and server manufacturer, Gigabyte should deliver solid revenue growth and FCF along with the slight ASP increase in the MB/VGA industry and higher growth rate in the server market. However, the rapid growth of server market that requires higher working capital to procure the costly GPU would possibly lower the payout ratio in the future. Having said that, we think Gigabyte's higher revenue growth should partially offset the drawback of a lower payout ratio.
	Related party & transaction	1 There are no related-party transactions, whether sales or purchases, in 2023. We see limited risk from related party transactions.
S	Supply chain management	2 Gigabyte issued the "Gigabyte Guidelines of Sustainable Procurement" in 2018 and committed to the "Code of Conduct for Responsible Business Alliance" issued by the RBA which requires its suppliers to meet the standards of no child labour, no forced labour, zero discharge of untreated toxic or hazardous substance/materials and zero behaviour that causes immediate physical harm to employees. In order to achieve better supply chain management, Gigabyte imposes rules for its supply chain and will conduct monthly and quarterly evaluation reviews based on the purchasing amount and compliance with sustainability standards. Gigabyte will also audit its suppliers for RoHS, quality, and CSR. For "green" purchase management, Gigabyte launched the "333 Reduction Plan" in 2016 and set a target of reducing carbon emissions, water use and waste by 3% every year. In 2022, 143 suppliers followed Gigabyte's "333 Reduction Plan", and Gigabyte hosted a supplier conference to discuss sustainability, net zero and the disclosure of ESG performance in a CSR report.
S	Data security	2 Gigabyte established a team to implement data security management. Moreover, it plans to conduct data security training and education regularly for all employees. Gigabyte aims to achieve zero data security incident in the future.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 16 Mar 2026

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	72.63%
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Source: Daiwa

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